

# The Indian Tax Paradox



**Mr. Pawan Kaushik**

Ours is one of the oldest civilisations. We have inherited highly cultured social and familial structure, but when it comes to wealth, why we are so poor? The reason is simple we lack a structured work culture. The situation in our country is such that our laws and corrupt administration are largely responsible for the acceptance of poor work discipline. Honest taxpayers suffer under heavy taxes, while those who evade them often go unpunished, sometimes even protected by the system meant to enforce the law.

There are numerous countries in the world which have become very rich just by way of a strong work culture. Having spent 40 years of my life in Taiwan has made me realise that it is very important for a country to have an extraordinary work culture to be strong financially. This is my firm belief, that healthy competition fosters growth whereas irrational tax laws and other factors push the workforce adversely. People shall come and go, but the Nation shall remain. "Hum na rahenge, tum na rahoge, ye desh hamara hamesha rahega."

Mr. Pawan Kaushik (Commerce & Law Graduate) from a small village in Haryana, is a first-generation entrepreneur and now, NRI based at Taipei, Taiwan.

While pursuing his education, he worked actively in the agricultural fields with his family. These experiences growing up along with the successes of his family's work ethics imbibed a strong sense of an ethical work culture into him at an early age. After graduation, he moved from a small village in Haryana to the commercial capital of India, Bombay. While pursuing his law degree, he learned the ropes of the import-export business by working with an export house.

In this "Mayanagari," Mr. Kaushik quickly observed that manipulation and influence over lawmakers delivered better outcomes than merit. This realisation strengthened his resolve to oppose such practices, and he has since been vocal in expressing his concerns.

Later, when he moved to Taiwan, he was delighted to witness its work culture. Seeing this vindicated his belief that a strong work culture makes a monumental difference. During his visits to India, he often shared how this tiny nation, with its efficient work culture and freedom from red-tapism, could reach such heights. Why not India then? The only answer he found was the absence of a congenial, business-friendly environment, one stifled by pervasive red-tapism.

The focus is on transforming the system, not targeting individuals or institutions. Laws are meant to serve the people; therefore, any law that fails in the service of its citizens should be reformed immediately.

## Is the GST reform good or bad for the economy?

GST is a good tax reform, but its rates are irrational. Inverted GST rates favour integrated plants and work against independent manufacturers, leading to many small independent units being shut down before the government rationalised some rates last year. The changes also created more problems for a few industries, like Man-Made Yarn and the paper industry. The raw material for yarn is still at 18% GST, whereas Yarn GST was reduced from 12% to 5% making difference bigger. And Paper finished product GST is made 0% with no refund of Input Tax Credit (ITC), its raw materials still attract 18% GST. This results in a total loss of ITC and an inability to adjust GST on capital goods. Our laws should be encouraging investment, but such GST rate structures are detrimental to it.

## Are you in favour of a single GST rate or multiple GST rates?

It would have been much better if the GST Act had been made simple with a single GST rate and an additional cess on Luxury, Demerit & Sin Goods. There would have been no classification disputes, but the argument is that we live in a complex country and can't have the same GST rate on *Hawai Chappals* and a Mercedes Benz. Because how do you explain the GST on diamonds - a super luxury - at only a 0.25% to 1.5%, while cement, the most basic material for nation-building, gets a rate that was 112 times higher than that of diamonds until last year, which is now only 72 times higher?

Mr. Kaushik believes money is a by-product of business; focus on business and the by-product follows. Therefore, if the government saw tax as a by-product of a thriving economy, it would focus on enabling business rather than merely collecting revenue. Our FM and PM have both said repeatedly that once revenue grows, GST on cement would be reduced. It took 8 years for this small reduction.

## Are GST rates encouraging or discouraging 'Make in India'?

Inverted GST rates have quietly but decisively set Indian manufacturing back by nearly a decade. The numbers make this impossible to ignore.

A ₹300 crore investment in capital goods attracts ₹54 crore in GST. Raw materials priced at ₹150/kg are taxed at 18% (₹27/kg). After adding value of ₹50/kg, the finished yarn sells at ₹200/kg and yet it attracts only 5% GST (₹10/kg).

The government refunds the ₹17/kg differential in a few months. But the ₹54 crore paid on capital goods remains permanently blocked, with no mechanism for adjustment or refund. This is not taxation; it is capital immobilisation.

Manufacturing runs on rotation, not restraint. That locked ₹54 crore could have powered three to four production cycles, delivering 15–20% returns. Instead, businesses are forced into high interest borrowing, turning productive enterprises into financially stressed ones. If this is the cost of 'Make in India', the question answers itself.

## How about import duties?

India's import duty structure mirrors the same contradiction seen in GST. Raw materials often have higher import duties than finished products. For example, coated luggage fabric is taxed at 20% while finished bags and luggage are at only 15%. Who, then,